

GLOBAL NERVE CENTRES

India's GCCs drive innovations and high-value operations

1,700
No. of GCCs operating in India, employing more than 1.9 million people

$64.6 BILLION (₹5.4 lakh cr.)
Total value of GCCs in India, which is expected to grow by 10 per cent annually till 2030

$100 BILLION (₹8.4 lakh cr.)
The projected size by 2030, creating over 2.5 million jobs

Source: India GCC Landscape report by NASSCOM and Zinnov, FY24

we are at the forefront of cutting-edge innovation and have already filed for 10 patents," says Raja Jamalamadaka, managing director, Roche Information Solutions India.

India's GCC ecosystem, valued at $64.6 billion (Rs 5.4 lakh crore) in FY24, is unsurprisingly expected to grow at an annual rate of 10 per cent, reaching $100 billion (Rs 8.4 lakh crore) by 2030 and employing over 2.5 million people. The Economic Survey 2023-24 also highlighted the increasing significance of GCCs in India's economy. It projects their contribution to India's GDP, currently at 1 per cent, to rise to 3.5 per cent by 2030.

GCCs are not a new concept; they represent the evolution of traditional call centres or captive units into strategic hubs. "GCCs have progressed from handling back-office tasks to mid-office functions [customer service, HR and accounting etc.]—and now to front-office roles," says Vivek Prasad, markets leader at PwC India.

Why has there been a surge of GCCs in India? During Covid-19, companies recognised the potential of offshoring work to locations outside their home countries, and "remote work gained acceptance", notes Sangeeta Gupta, senior VP and chief strategy officer, NASSCOM. Moreover, GCCs are no longer limited to technology companies like Microsoft, SAP and Oracle, which opened engineering centres in India.

Today, firms from traditional sectors such as retail and oil and gas, along with mid-sized companies and even new-age unicorns are setting up GCCs in the country. For example, Australian digital real estate advertising company REA Group, which owns Indian property tech firms like Housing.com, Makaan.com and PropTiger.com, has set up a GCC in India. Similarly, Boston-based home goods e-tailer Wayfair opened its Technology Development Centre in Bengaluru last year. "We are a microcosm of Wayfair, with all technology verticals of the headquarters represented at the Bengaluru campus. With a significant leadership team here, both ownership and execution happen locally," says Rohit Kaila, head of technology and site leader for Wayfair in India. The company employs 520 engineers and aims to raise its headcount to 700 by next year.

While the GCC segment's genesis owes to labour cost arbitrage, companies now aim to cash in on India's robust services industry and abundant talent pool. "No other country provides technology talent at this scale," says Prasad, adding that salaries for senior roles in GCCs are at par with their global counterparts, with cost advantages limited to younger hires. In contrast, countries like the Philippines have a strong BPO sector but lack the scale and depth of talent needed for product development and engineering.

GCCs need several elements to succeed: talent, partnerships with startups and academic institutions, extensive real estate and a network of industry bodies and other GCCs for collaboration. "Cities like Bengaluru, Pune and Hyderabad offer all this and more," says Jamalamadaka. The trend is likely to accelerate as companies face cost pressures from the economic slowdown, even though, at a policy level, western economies are focusing on promoting local talent. ■

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